NÁCAR & LEDGER

Your Flip Isn’t a Rental. Your Books Shouldn’t Treat It Like One.

A field guide to fix & flip bookkeeping — acquisition, rehab draws, refinancing, and the sale — done the way a dealer-property file actually needs to be done.

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THE PROBLEM

Flip books usually look like rental books

The single most common bookkeeping mistake on a fix & flip file is treating the property like a rental — depreciating it, expensing rehab costs as repairs, and letting carrying costs hit the P&L as they're paid. None of that is how a property held for resale should be booked, and it quietly distorts every number an investor uses to decide whether the next deal pencils.

A flip is inventory. Every dollar in stays on the balance sheet until the sale — that's the entire model.

SIGNS YOUR FLIP FILE IS BROKEN

1. Rehab draws showing up as expenses, not on the balance sheet
2. Depreciation posted on a property that's never been rented
3. Profit on the last flip doesn’t match what actually hit the bank
4. No idea which draw put a deal over budget until it's too late

Every dollar has one of three homes

Set the chart of accounts up once per entity. After that, coding a draw is a five-second decision, not a judgment call.

Asset

Real Estate Inventory — Acquisition

Purchase price and acquisition closing costs. Never depreciated.

Asset

Real Estate Inventory — Rehab Costs

Every contractor draw and material invoice, by property.

Asset

Real Estate Inventory — Carrying Costs

Interest, taxes, insurance while the rehab is active (Section 5, SOP).

These three accounts sum to one number: the property's total cost basis — which is exactly what gets relieved to COGS the day it sells.

Capitalize the purchase, not just the price

$180,000 purchase + $6,200 closing costs, financed with an 80% hard money loan at 2 points.

Account	Debit	Credit	Notes
Real Estate Inventory — Acquisition	$186,200		Purchase price + closing costs
Loan Fees & Points	$2,880		Expensed over the loan’s short term
Notes Payable — Hard Money		$144,000	80% initial draw
Cash		$45,080	Down payment + points + costs

Closing costs never sit in an expense account on a flip — title, recording, transfer tax, and inspection all capitalize alongside the purchase price.

Refinancing mid-project pays off the old fees too

Paying off a hard money loan with a bridge loan before the rehab is complete, with $8,400 cash-out.

Account	Debit	Credit	Notes
Notes Payable — Hard Money	$168,880		Payoff of original balance
Loss on Debt Extinguishment	$960		Unamortized points, written off
Cash	$8,400		Net cash-out proceeds
Loan Fees & Points (new)		$2,100	New loan's points
Notes Payable — Bridge Loan		$180,340	New loan proceeds

The original loan's unamortized points don't carry forward — they're written off in full the moment that loan is paid off.

THE MOST COMMON ERROR

Depreciation: not applicable — with one exception

A flip held as inventory is never depreciated, no matter how many months the rehab spans. Depreciation is for assets used in the business — a flip is held for resale, not for use.

THE ONE EXCEPTION

Strategy changes mid-project — flip becomes a rental

Reclassify the full capitalized cost out of inventory into Land + Building & Improvements as of the conversion date. Depreciation starts there — not before.

JOURNAL ENTRY — DISPOSITION

The sale is where the profit actually shows up

Sells for $265,000, $14,500 selling costs, $209,080 total capitalized cost, bridge loan payoff of $180,340.

Account	Debit	Credit	Notes
Cash	$70,160		Net proceeds after payoff & selling costs
Notes Payable — Bridge Loan	$180,340		Full payoff
Selling Costs	$14,500		Commission, title, recording
Sales Revenue — Flips		$265,000	Gross contract price
Real Estate Inventory (COGS relief)	$209,080	$209,080	Full basis relieved, same date

Net profit: $265,000 revenue − $209,080 total cost − $14,500 selling costs = $41,420. That's ordinary business income — flag it for the CPA as flip income, not capital gain.

One clean file, every deal, from close to close.

We set up the property-level chart of accounts, track every draw against budget, and hand you a P&L that tells you exactly what each flip actually made — before you sign for the next one.

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